

# CFC Tech Proposal — Broker Follow-up Response

AI Advocate Ltd · Company No. 16612244 · ICO ZC158457 · 23 June 2026

This document confirms the answers to the broker's follow-up questions on the CFC Tech Proposal Form for AI Advocate Ltd. The answers below should be read alongside the original proposal form already submitted. Where a question was already answered on the original form, the answer here is identical and is restated for clarity.

## Section 1 — Company Details

|       |                                                                                                                                       |    |
|-------|---------------------------------------------------------------------------------------------------------------------------------------|----|
| Q 1.3 | Do you have any subsidiaries?                                                                                                         | NO |
| Q 1.4 | Are you part of a corporate or other group structure where some parts of the group are not subject to this application for insurance? | NO |

### Q 1.5 — Company financial year end

Confirmed: **31 July**. The company was incorporated on 29 July 2025; the first statutory accounts are made up to **31 July 2026** and filed at Companies House.

### Q 1.6 — Gross revenue: clarification

The broker has flagged that the figures showed as *£2 domestic, £2 total GR, £5 profit*. That is a PDF form-field rendering issue — the values were entered in thousands (i.e. "2" was intended as £2,000, not £2). The correct full numerical amounts are confirmed as follows:

| Line                             | Last complete FY (to 31/07/2025) | Current FY (to 31/07/2026) | Next FY (to 31/07/2027) |
|----------------------------------|----------------------------------|----------------------------|-------------------------|
| Domestic (UK) customer revenue   | £0                               | £2,000                     | £30,000                 |
| USA customer revenue             | £0                               | £0                         | £0                      |
| Other territory customer revenue | £0                               | £0                         | £0                      |
| <b>Total gross revenue</b>       | <b>£0</b>                        | <b>£2,000</b>              | <b>£30,000</b>          |
| Profit / (Loss)                  | £0                               | (£5,000)                   | (£10,000)               |

All revenue is UK-domestic. AI Advocate is a consumer-direct UK product and is not actively marketed or sold to USA or other territory customers; revenue from outside the UK in the relevant periods is £0. The loss positions reflect founder-funded infrastructure costs (cloud hosting, LLM API spend, Stripe fees, Companies House and ICO fees) ahead of paid-tier conversion.

|       |                                                                        |    |
|-------|------------------------------------------------------------------------|----|
| Q 1.9 | Have you received or do you plan to receive any investment or funding? | NO |
|-------|------------------------------------------------------------------------|----|

The company is 100% founder-funded by the sole director, Samuel Malick. No external equity investment, debt facility, grant, accelerator funding or third-party loan has been taken to date. The director has no current plans, binding term sheet, or active fundraising discussions for the next 12 months.

## Section 2 — Activities

|       |                                                                                                                              |    |
|-------|------------------------------------------------------------------------------------------------------------------------------|----|
| Q 2.3 | Are you involved with the provision of any tangible products, or with tangible product installation at third-party premises? | NO |
|-------|------------------------------------------------------------------------------------------------------------------------------|----|

|              |                                                  |           |
|--------------|--------------------------------------------------|-----------|
| <b>Q 2.4</b> | Do you provide hosting services to your clients? | <b>NO</b> |
| <b>Q 2.6</b> | Do you provide any managed services?             | <b>NO</b> |

AI Advocate is a software-only consumer SaaS product. The company sells no physical or tangible goods, installs no equipment at third-party premises, operates no client-facing data centre, and does not perform managed-service engagements (no service-desk, no break-fix support, no out-sourced operations). The company's own application is hosted on the Emergent Platform (AWS-backed Tier 3+ infrastructure) — but this is for our own use, not resold to clients.

### Section 3 — Contract & Risk Management

|              |                               |           |
|--------------|-------------------------------|-----------|
| <b>Q 3.6</b> | Do you employ subcontractors? | <b>NO</b> |
|--------------|-------------------------------|-----------|

The founder is the sole director and developer. No human subcontractors, freelancers or agencies are engaged. The company consumes commercial third-party APIs (Anthropic, OpenAI, Google, Stripe, Resend, Tavily, Google Places, Cloudflare, PostHog, Sentry) under each provider's standard commercial Terms of Service — these are licensed software services, not human subcontractors.

### Section 5 — Intellectual Property

|              |                                                                                                               |           |
|--------------|---------------------------------------------------------------------------------------------------------------|-----------|
| <b>Q 5.2</b> | Have you ever sent or received a cease-and-desist letter, or notification of an actual or potential IP claim? | <b>NO</b> |
|--------------|---------------------------------------------------------------------------------------------------------------|-----------|

AI Advocate Ltd has neither sent nor received any cease-and-desist letter, infringement notice, takedown demand, or notification of an actual or potential intellectual-property claim of any kind. The company's brand name, logo, copy and software code are original works of the founder. All third-party software dependencies are open-source under permissive licences (MIT, Apache 2.0, BSD), and all third-party APIs are consumed under paid commercial subscriptions with commercial-use rights.

## Section 8 — Insurance Limits Required

Confirmed — the limits and excesses the broker has assumed are **correct**:

| Cover                              | Limit of Indemnity | Excess | Effective |
|------------------------------------|--------------------|--------|-----------|
| Errors & Omissions (Tech PI)       | <b>£1,000,000</b>  | £1,000 | ASAP      |
| Cyber Liability                    | <b>£1,000,000</b>  | £1,000 | ASAP      |
| General / Public Liability         | <b>£1,000,000</b>  | £250   | ASAP      |
| Directors & Officers' Liability    | <b>£500,000</b>    | £1,000 | ASAP      |
| Legal Expenses (already requested) | <b>£100,000</b>    | £0     | ASAP      |

**Two underwriter requests, for your written confirmation:**

- 1) Please also quote the **E&O cover at £2,000,000** limit (same £1,000 excess) as an alternative option, so we can compare the marginal premium uplift.
- 2) Please confirm **in writing** that the E&O / Tech PI cover explicitly extends to **AI-generated outputs** (i.e. errors, omissions, hallucinations, or incorrect legal information produced by the AI assistant). This is material — if AI output is excluded, the policy is not fit for purpose for this business.

## Section 10 — Claims Experience

|                  |                                                                                                                     |           |
|------------------|---------------------------------------------------------------------------------------------------------------------|-----------|
| <b>Q 10.1(a)</b> | Aware of any incident that may result in a claim under any cover being applied for in this proposal?                | <b>NO</b> |
| <b>Q 10.1(b)</b> | Aware of any incident that resulted in legal action against any of the companies to be insured in the last 5 years? | <b>NO</b> |

The company has been trading since 29 July 2025 and has no claims history, no pending legal action, no regulatory investigation, no complaint to the ICO, no complaint to the Legal Ombudsman, no SRA referral and no consumer / Trading Standards action. The founder is unaware of any circumstance, fact or matter that could reasonably be expected to give rise to a claim under any of the covers being applied for. This is the first business insurance policy being placed by AI Advocate Ltd.

## Declaration & Signature

I confirm that the answers above are true and complete to the best of my knowledge and belief, and that I have made all reasonable enquiries to confirm them. I understand that any material non-disclosure or misrepresentation may entitle the insurer to avoid the policy or refuse a claim.

**Signed:**

**Print name:** Samuel Malick

**Position:** Founder & Director, AI Advocate Ltd

**Date:** 23 June 2026

**Email:** samuel.malick@aiadvocate.co.uk